



FORGE TALENT CONNECTIONS / FORGELINK LLC

The SAFE Playbook

How to raise money for Forgelink without losing the company or the calling

A fillable strategy workbook on Simple Agreements for Future Equity, written in plain words, built on U.S. government primary sources and peer-reviewed legal scholarship.



Explained like
you are five



Real fillable
checkboxes



90-day sprints
to Summer 2027



APA sources
with links



READ THIS BEFORE ANYTHING ELSE

This playbook will **not** promise you a contract or a dollar. No plan can. What it does is show you the exact rules, the exact traps, and the exact order of moves. Three numbers you may expect to see are deliberately left blank, because the honest answer is **I do not know them** and guessing would cost you more than waiting. Every blank is marked. **Nothing here is legal, tax, or investment advice.**

Prepared for: Andrew | andrew@forgetalentconnections.com

Entities in scope: Forgelink LLC | Deterministic Governance LLC (Wyoming, IP holding)

Horizon: deployment by Summer 2027 | Compiled 14 September 2026

"Whatever you do, work heartily, as for the Lord and not for men." Colossians 3:23



How to use this workbook

This document is built for a brain that wants **every loose end closed** and a brain that **loses the thread if a page is boring**. Those are not the same brain, so the layout serves both on purpose.

The design choice	Why it is there
Every part has its own colour and never changes colour	You can find your place by colour alone. No hunting.
Every checkbox is the same size, in the same column, always	Nothing looks uneven. You can scan a page and see instantly what is open.
One idea per block. Short blocks.	You can stop anywhere and restart without re-reading.
Grey boxes marked SAY IT LIKE I AM FIVE	The plain-words version of the paragraph above it. Read only these if tired.
Blanks are fillable fields, not lines to print	Type into this PDF. It saves. You never lose the work.
Claims carry a coloured label	You always know whether something is proven, inferred, or unknown.

The six labels you will see on claims

GOVERNMENT SOURCE

EMPIRICAL FINDING

EVIDENCE-BASED INFERENCE

ASSUMPTION - REPLACE WITH YOUR NUMBER

UNKNOWN - DO NOT GUESS

PROFESSIONAL VERIFICATION REQUIRED

Government source means a .gov primary document. **Empirical finding** means peer-reviewed or official statistical research with real data. **Inference** is my reasoning from those sources, clearly not a quote. **Assumption** is a placeholder number you must replace. **Unknown** means nobody told me and I refuse to invent it. **Professional verification required** means a lawyer or CPA must sign off.



THE ONE RULE THIS DOCUMENT WILL NOT BREAK

Where I could not verify something, I say so and leave it blank. You will find at least three deliberate blanks, including one federal dollar threshold where three government sources disagreed with each other. I did not pick a favourite. A wrong number in a funding plan is worse than a missing one, because a missing number gets checked and a wrong number gets trusted.



STEWARDSHIP FRAME

You said wealth is stewardship, not consumption, and that you want ownership over income. That is not decoration here - it changes the recommendation. This playbook puts **non-dilutive money first** and treats selling equity as the **last** lever, not the first. Money you do not have to give ownership for is money that stays in the family line. That is Part 5, and it is the most important part of this document.

If you only have ten minutes

- ☐ Read Part 2. It contains three traps that can quietly end this plan.
- ☐ Read Part 5. It is how you stop burning your own money.
- ☐ Fill in the six boxes on the Money Map worksheet in Part 4.
- ☐ Book the two professional calls listed at the end of Part 2.



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PART 1

What a SAFE actually is

Before strategy, the object itself. Five minutes here saves you a year later.



SAY IT LIKE I AM FIVE

Imagine you sell a ticket that says: **you gave me money today, and later, when a real investor shows up and sets a price, this ticket turns into a slice of my company.** That ticket is a SAFE. It is not a slice yet. It is a promise of a slice, and the promise only comes true if something specific happens.



The official warning, word for word

The U.S. Securities and Exchange Commission's Office of Investor Education and Advocacy published a bulletin on SAFEs. It is unusually blunt for a government document, and every founder should read the four points below as written.

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- A SAFE is **not** common stock and **not** a current equity stake. It is an agreement to provide a future equity stake **if and only if** a triggering event occurs.
- SAFEs convert **only** if certain triggering events occur, so it matters enormously what those triggers are.
- There may be scenarios where the triggers are never activated and the SAFE is not converted, **"leaving you with nothing."**
- **"Despite its name, a SAFE may not be 'simple' or 'safe.'"**



WHY THE SEC SAYS THIS AND WHY IT MATTERS TO YOU

That warning is aimed at investors, but read it as a seller and it becomes a sales problem: you are asking someone to hand over cash for a ticket the SEC openly describes as possibly worthless. If you cannot explain, in one sentence, what makes your trigger likely to fire, you will not close the raise. Part 2 shows why Forgelink's trigger is the weakest link in the whole plan.



The four dials on a SAFE

Almost every SAFE argument is about four settings. Learn these and you can read any SAFE on the table.

Dial	In plain words	What it does to you
Valuation cap	The highest company price the investor's money will ever convert at.	Lower cap = investor gets more of your company. This is the main number you negotiate.
Discount	A percentage off whatever price the next real round sets.	Stacks on top of, or instead of, the cap. More dilution.
Most Favoured Nation (MFN)	If you later give someone better terms, this investor automatically gets them too.	Lets an early believer invest now without setting a price. Costs you flexibility later.
Pro rata	The right - not the duty - to put more money in later to keep their percentage.	Usually lives in a side letter. Watch it: side letters can create control rights.



Pre-money vs post-money: the one distinction worth your time

On a **post-money** SAFE, the investor's percentage is fixed the moment they sign: **investment divided by the post-money valuation cap**. On a pre-money SAFE it is not fixed, and later SAFEs dilute earlier ones in ways founders routinely miscalculate.

EVIDENCE-BASED INFERENCE



THE FOUNDER TRAP IN ONE LINE

With post-money SAFEs, **every additional dollar you raise dilutes you, not the earlier investors**. Stack four post-money SAFEs without modelling them together and founders regularly discover they gave away far more than they thought. Model the stack **before** you sign the first one. Part 4 gives you the worksheet.



What the research actually shows

Coyle and Green surveyed **more than 300 startup lawyers** across **32 U.S. states and four Canadian provinces**, in partnership with Thomson Reuters Practical Law, in 2018. It was the first systematic attempt to document how far the deferred equity agreement had spread across North America.

EMPIRICAL FINDING

Their earlier work is the one that should worry you, and it is the single most relevant academic finding for Forgelink specifically. In **Crowdfunding and the Not-So-Safe SAFE**, they argue that widespread SAFE use may **frustrate investors' ability to share in the upside**, for a structural reason: the SAFE was designed for companies that **expect to raise institutional venture capital later**, and many issuers **never will**.

EMPIRICAL FINDING



APPLY THAT FINDING DIRECTLY TO FORGELINK

A govtech company selling to cities and federal agencies may build a genuinely valuable, profitable business and **never do a classic priced VC round**. If your SAFE only converts on an equity financing, and you never raise equity, the SAFE may never convert. Your investor is left holding the SEC's "nothing", and you are left with an unresolved instrument sitting on your balance sheet forever. **This is not a hypothetical for you. It is the most likely path.** The fix is in Part 8: you must widen the conversion triggers.



PART 2

The three landmines

Each of these can quietly end the plan. None of them are obvious. Read this part twice.



WHY THIS PART COMES BEFORE THE STRATEGY

Every one of these three is cheap to fix **before** you take money and expensive or impossible to fix **after**. The ordering of this document is deliberate: traps first, tactics second.



Landmine 1: A SAFE is built for a corporation. Forgelink is an LLC.



SAY IT LIKE I AM FIVE

A SAFE promises to turn into **stock**. LLCs do not have stock. They have **membership units**. So the standard paperwork promises to hand over something your company does not own and cannot make.

Standard SAFEs and convertible notes are drafted to convert into **preferred stock of a C-corporation**. An LLC issues membership interests. If a priced round closes while the company is still an LLC, there is a structural problem that must be resolved before closing.

EVIDENCE-BASED INFERENCE

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There is a second, quieter problem. An LLC is a pass-through: investors receive a **Schedule K-1** rather than simple stock. Many institutional funds will not accept K-1s, because it creates tax filing obligations for their own limited partners.

There is a third. Internal Revenue Code **Section 1202** - the qualified small business stock exclusion - requires a **C corporation**, stock acquired at **original issuance**, and a holding period of **more than five years**. An LLC cannot issue QSBS. Every month you stay an LLC is a month the five-year clock is not running.

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THE STEWARDSHIP READ ON SECTION 1202

You told me tax efficiency and generational transfer matter. QSBS is one of the largest legal tax exclusions available to a founder on an eventual sale. It requires a C-corp and a five-year hold. If Forgelink deploys in Summer 2027 and a liquidity event is even conceivable in the 2030s, **the conversion decision you make this quarter is worth more than the entire SAFE raise**. Take this one to a CPA before you take it anywhere else.

Your three options, honestly compared

Option	What it gives you	What it costs you
A. Convert to a C-corporation first, then raise	Standard paperwork. Investors say yes. QSBS clock starts. Clean cap table for employee options when you hire.	Conversion cost and tax analysis. Franchise tax. Corporate-level tax on profits. Takes weeks, not days.

Option	What it gives you	What it costs you
B. Stay an LLC , use a SAFE rewritten for units	Cheaper today. Keeps pass-through treatment. No conversion event now.	Legal uncertainty in drafting. Sophisticated investors may walk. K-1 burden. No QSBS. You likely convert later anyway and redo the paperwork.
C. Raise at the Wyoming holdco level	Feels tidy - money lands where the IP lives.	Read Landmine 2 before considering this. It is the option most likely to destroy your federal funding eligibility.



MY RECOMMENDATION, AND THE CONDITION ON IT

Option A, if and only if the Part 4 worksheet shows you actually need outside equity. Convert before you raise, not after. But do not convert on my say-so - convert because a CPA has modelled your specific numbers. If Part 5 covers the gap, you may not need to raise at all this year, and then Option A can wait.

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Landmine 2: SAFE money can disqualify you from the free money.



THIS IS THE MOST IMPORTANT PAGE IN THE DOCUMENT

If you read nothing else, read this. It is the direct collision between the two things you asked for: raising SAFE money, and winning federal money.



SAY IT LIKE I AM FIVE

The government's best startup money has a rule: **real live people who are American must own more than half the company.** And when they check, they count **not just who owns shares today, but everyone who is promised shares later.** Your SAFE tickets count. Sell too many and you fail the test.

To be eligible for SBIR and STTR awards, a concern must be **more than 50% directly owned and controlled** by one or more **individuals** who are citizens or permanent resident aliens of the United States - or by other small business concerns that are themselves more than 50% directly owned and controlled by such individuals - or an Indian tribe, ANC or NHO, or any combination of these.

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- **"Individual" means an actual person.** It does not mean a company or any other legal entity.
- **SBA reviews equity ownership on a fully diluted basis.** This is the sentence that matters. Convertible instruments are counted.
- The awardee **together with its affiliates** must not exceed **500 employees**.



WHAT 'FULLY DILUTED' DOES TO A SAFE STACK

A SAFE is a convertible instrument. On a fully diluted analysis it is counted as though it has already converted. So the question is not "who owns Forgelink today" - it is **"who would own Forgelink if every SAFE and option converted right now."** Raise enough SAFE money and you cross below 50% individual ownership **without a single share changing hands**, and the SBIR door closes.

**THE DESIGN RULE THIS GIVES YOU**

Size the **SAFE** raise so that, fully diluted and fully converted, U.S.-individual ownership stays comfortably above 50% - with margin for the employee option pool you will need when you hire. Part 4 turns this into an actual ceiling in dollars. This single constraint should drive the size of your raise. Not your burn rate. Not your ambition. This.

EVIDENCE-BASED INFERENCE**The holdco question, stated precisely**

Note the clause carefully: ownership by **other small business concerns, each of which is itself more than 50% directly owned and controlled by qualifying individuals**, also counts. On its face, a Wyoming holding company that is majority owned by you personally, and that qualifies as a small business concern, may be capable of satisfying the chain. **On its face.**

GOVERNMENT SOURCE**WHY I WILL NOT TELL YOU THIS WORKS**

I could not read the full regulation in this session - the government text sites were blocked by this environment's network policy. I retrieved this language through search extracts of the real regulation, not from memory, but I have not read 13 CFR 121.702 end to end, and the word "**directly**" in that sentence is doing heavy lifting that only full text and counsel can settle. **Do not restructure ownership based on this page.** Take this exact question, in these exact words, to a government contracts attorney. It is question 1 on your call list.

UNKNOWN - DO NOT GUESS**PROFESSIONAL VERIFICATION REQUIRED****Landmine 3: Investor rights can make you 'not small' anymore.****SAY IT LIKE I AM FIVE**

If someone can tell you **no** about big decisions, the government may treat their company and your company as **one company**. Then their size counts as your size, and you are too big to be the little guy who gets the set-aside contracts.

Under SBA's affiliation rules, concerns are affiliates when one **controls or has the power to control** the other, or a third party controls both. **It does not matter whether the control is actually exercised, so long as the power exists.**

GOVERNMENT SOURCE

- Power to control is presumed at **50% or more** ownership.
- It **may also exist with considerably less than 50%**, by contractual arrangement.
- SBA weighs ownership, management, previous relationships and ties, and **contractual relationships**.
- In sizing you, SBA counts the receipts or employees of **the concern and all of its domestic and foreign affiliates**.

**WHERE THIS BITES A SAFE ROUND: THE SIDE LETTER**

The SAFE itself is usually harmless here. **The side letter is where founders get hurt.** Consent rights, board observer seats, veto rights over budgets, hiring, new debt, or a sale - these are **negative control**, and negative control is control. Give an investor a veto and you may have handed them affiliation, and with it your small business status and every set-aside contract that depends on it.

**THE DRAFTING RULE**

No investor consent rights. No board seats. No vetoes. Information rights only. If an investor insists on control terms, price that demand against the federal contracts it may cost you, and be willing to decline the cheque. A smaller cheque with clean terms is worth more than a larger cheque that ends your eligibility.

EVIDENCE-BASED INFERENCE**PROFESSIONAL VERIFICATION REQUIRED****Your two professional calls. Book these this week.**

These are not optional and they are not expensive relative to what they protect.

- ☐ **Call 1 - Government contracts attorney.** Agenda: (a) Does the Wyoming holdco chain satisfy 13 CFR 121.702 direct-ownership? (b) Will our planned SAFE terms create affiliation under 13 CFR 121.103? (c) Review the side letter, if any.
- ☐ **Call 2 - Startup CPA plus tax counsel.** Agenda: (a) LLC vs C-corp conversion modelling on our actual numbers. (b) Section 1202 QSBS clock and whether to start it now. (c) Tax characterisation of the SAFE itself - this is genuinely unsettled.

ATTORNEY - NAME

CALL BOOKED FOR

COST QUOTED

CPA / TAX COUNSEL - NAME

CALL BOOKED FOR

COST QUOTED

**ON THE TAX TREATMENT OF SAFES - AN HONEST UNKNOWN**

The tax characterisation of a SAFE is **not settled**. It is commonly analysed either as a variable prepaid forward contract or as equity, and which one applies affects the holding period and therefore QSBS. I found no authoritative government ruling resolving it. Commentary exists from major accounting firms, but that commentary does not clear your own source standard, so I have not built any recommendation on it. **Treat this as open. Ask your CPA directly.**

UNKNOWN - DO NOT GUESS**PROFESSIONAL VERIFICATION REQUIRED**



PART 3

Getting the structure right

Two companies, one licence, and the question that decides everything else.

? What I know, what I do not, and why it matters

You have described two entities: **Forgelink LLC**, which holds sole licences to the software technologies, and **Deterministic Governance LLC**, a Wyoming IP holding company. Separating operations from intellectual property is a recognised and defensible structure. It can isolate the crown jewels from operating liability.



THE SINGLE FACT THAT CHANGES THE WHOLE ANALYSIS

Does Deterministic Governance LLC OWN Forgelink LLC, or does it only LICENSE IP to Forgelink?

These are completely different worlds for federal eligibility. A licence between two companies you happen to control is one thing. A parent entity owning the awardee is another, and it runs straight into the "individuals" and "directly owned" language from Landmine 2. **I do not know which one is true, and I will not assume.** Fill it in below.

UNKNOWN - DO NOT GUESS

DETERMINISTIC GOVERNANCE LLC'S RELATIONSHIP TO FORGELINK LLC

WHO OWNS FORGELINK LLC, AND WHAT %

STATE OF FORMATION

WHO OWNS DETERMINISTIC GOVERNANCE LLC, AND WHAT %

ANDREW: US CITIZEN OR PR?

The IP licence is a document, not a handshake

If Forgelink holds "sole licences," the licence agreement itself becomes a load-bearing asset. An investor's lawyer will read it before they wire money, and a contracting officer may ask whether you actually have the rights to perform. Write down the answers to these now, because you will be asked.

- ☐ **Scope** - exactly which technologies, and is it truly exclusive?
- ☐ **Field of use** - all markets, or only government? Does it cover city and federal?
- ☐ **Term** - how long, and what happens at expiry?
- ☐ **Royalty** - what does Forgelink pay the holdco, and is it arm's length? Related-party pricing draws scrutiny from both the IRS and contracting officers.
- ☐ **Termination** - can the holdco pull the licence? If yes, an investor is funding a company that can be hollowed out overnight. Expect them to demand this be fixed.
- ☐ **Change of control** - what happens to the licence if Forgelink is sold?
- ☐ **Sublicensing and government rights** - can Forgelink grant the government the licences a contract will require?

**THE INVESTOR-SIDE PROBLEM WITH A TERMINABLE LICENCE**

If the holdco can terminate the licence, then buying a SAFE in Forgelink means buying a slice of a company whose only real asset can be withdrawn by its owner. Sophisticated investors will either refuse, or require the licence to be made irrevocable, or insist on investing in the holdco instead - which reopens Landmine 2.

Resolve this before you open a conversation with any investor.

EVIDENCE-BASED INFERENCE

PROFESSIONAL VERIFICATION REQUIRED

**Which entity should the money land in?**

Money lands in	Argument for	Argument against
Forgelink (the operating company)	It is the entity that will hold the contracts, do the hiring, and win SBIR awards. Investors fund operations. Keeps the awardee's ownership chain shortest.	Dilutes the operating company - the exact entity whose fully-diluted ownership the SBA will test.
Deterministic Governance (the holdco)	Money sits with the IP. Feels protective.	An entity owner sits between individuals and the awardee. Runs directly into the "individuals" / "directly owned" language. Highest eligibility risk.
Neither - do not raise this year	Part 5 may cover the gap without dilution at all. Costs you nothing to test first.	Slower. Depends on winning competitive awards you do not control.

**PROVISIONAL RECOMMENDATION**

Raise into Forgelink, not the holdco - and only after Part 5 proves you still need to. This is an inference from the ownership language, not a legal opinion, and it is explicitly subject to Call 1 in Part 2. If your attorney says otherwise, your attorney is right and this page is wrong.

EVIDENCE-BASED INFERENCE

PROFESSIONAL VERIFICATION REQUIRED



PART 4

The money map

How much to raise, where the ceiling is, and the arithmetic that sets it.



SAY IT LIKE I AM FIVE

Before you ask anyone for money, you need two numbers: **how much you actually need**, and **the most you are allowed to sell before you break the free-money rule**. Then you take the smaller one.



Step 1 - What does it actually cost to get to Summer 2027?

Fill these in. I do not know any of them, and a funding plan built on invented numbers is worse than no plan.

UNKNOWN - DO NOT GUESS

1



Cost to finish the software

ENGINEERING TO COMPLETE BUILD

SECURITY / COMPLIANCE WORK

INFRASTRUCTURE & TOOLING

2



Cost to pilot and deploy

PILOT DELIVERY COST

DEPLOYMENT & SUPPORT

CERTIFICATIONS / AUDITS

3



Cost of the people you hire before 2027

NUMBER OF HIRES PLANNED

FULLY LOADED COST EACH

MONTHS EMPLOYED BY S2027

4



Your runway and your line in the sand

CURRENT MONTHLY BURN

MONTHS OF RUNWAY LEFT

PERSONAL MONEY ALREADY IN



SET THE LINE BEFORE YOU NEED IT

You said you are tired of burning your own money. Then write the number down **now**, while you are calm, and treat it as a covenant rather than a preference. A limit chosen under pressure is not a limit.

THE MAXIMUM ADDITIONAL PERSONAL MONEY I WILL PUT IN, FULL STOP

Write it. Date it. Tell your spouse.

Step 2 - The ceiling the government sets for you

This is the constraint from Landmine 2, turned into arithmetic. On a post-money SAFE, an investor's percentage is **investment divided by the post-money valuation cap**. So the total you can sell is bounded by how much dilution you can absorb while keeping U.S.-individual ownership above 50% fully diluted.

EVIDENCE-BASED INFERENCE



THE CEILING FORMULA

Maximum SAFE dollars = Valuation cap x (1 - your individual-ownership floor - your employee option pool)

Use a floor **above** 50%, not at it. 50% is the cliff edge, not the target.

Worked example - every number below is invented for illustration

ASSUMPTION - REPLACE WITH YOUR NUMBER

Input	Illustrative value	Note
Post-money valuation cap	\$8,000,000	Assumption. I have no basis to value Forgelink. Do not use this number.
Individual-ownership floor	55%	5 points of margin above the 50% cliff. Your choice of margin.
Employee option pool reserved	15%	You said you want to hire well before 2027. The pool must be counted.
Maximum SAFE raise	\$8,000,000 x (1 - 0.55 - 0.15) = \$2,400,000	The ceiling. Not a target.
If you raised \$750,000 instead	9.375% to investors	750,000 / 8,000,000. Leaves wide margin. Much safer.



READ THE EXAMPLE CORRECTLY

That \$8M cap is **fabricated for arithmetic demonstration only**. I have no revenue, no comparables, and no basis to value your company, and I am not going to invent one. I also looked for a peer-reviewed or government dataset of current SAFE valuation-cap benchmarks to anchor it honestly. **There does not appear to be one.** Benchmark data exists, but it is published by private cap-table vendors - proprietary, not peer-reviewed, not government - which does not meet the source standard you set for this document. So I left it out rather than quietly lower the bar. Your cap comes from negotiation and from your CPA, not from this page.

UNKNOWN - DO NOT GUESS

Now do it with your own numbers

A. YOUR VALUATION CAP

B. INDIVIDUAL FLOOR %

C. OPTION POOL %

D. CEILING = A X (1 - B - C)

E. ACTUAL NEED FROM STEP 1

F. YOUR RAISE = THE SMALLER OF D AND E

If E is bigger than D, do not raise more. Cut scope or win more non-dilutive.



Step 3 - Model the whole stack before you sign the first one



THE POST-MONEY STACKING TRAP, AGAIN

With post-money SAFEs, later SAFEs dilute **you**, not the earlier investors. Four separate \$200,000 SAFEs at four different caps do not behave like one \$800,000 SAFE. Build the full conversion table **before** the first signature, and update it after every single one.

#	Investor	Amount	Cap	% at conversion	Running total %
1					
2					
3					
4					
5					
6					
TOTAL RAISED		TOTAL INVESTOR %		OPTION POOL %	INDIVIDUALS LEFT %

☐ Individuals-left figure is above my floor. If it is not, the raise is too big. Stop and re-cut.



PART 5

Free money first

The part that actually answers 'stop burning my own money.' Do this before you sell a single percent.



WHY THIS PART OUTRANKS THE SAFE

You said you value ownership over income, and asymmetric upside. There is no better expression of that than money you receive **without giving up any ownership at all**. Every dollar won here is a dollar you do not have to dilute for. This is the highest-leverage part of the document. The SAFE exists only to fill whatever gap is left after this.

U SBIR and STTR - what the government says it is

SBIR and STTR are described by SBIR.gov as **America's Seed Fund**, coordinated by the Small Business Administration and funded through **11 participating federal agencies**. The programs award **non-dilutive** funding to develop technology and chart a path toward commercialisation - meaning companies receive funding **without giving up equity ownership**.

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	What it is	Money	Time
Phase I	Proof of concept. Establish feasibility.	\$50,000 - \$275,000	6 - 12 months
Phase II	Technology development. The real build money.	\$750,000 - \$1,800,000	~24 months
Phase III	Commercialisation. Funded with non-SBIR funds - typically a real government contract.	No SBIR limit	Agency dependent

Note the amounts against your own Step 1 numbers. A Phase I plus a Phase II is a meaningful fraction of what it costs most software companies to finish a build and run a pilot - and it costs you **zero equity**.

EVIDENCE-BASED INFERENCE



AGENCY AMOUNTS VARY

Those ranges are the general program figures. Individual agencies set their own ceilings and some exceed these. Check the specific solicitation, always.



Phase III is the closest thing to what you actually asked for



SAY IT LIKE I AM FIVE

If the government pays you to prove an idea, and then pays you to build it, then when they want to buy the finished thing **they are allowed to just buy it from you** without running a fresh competition against everybody else.

You asked how to **ensure** you get federal contracts. No one can ensure a competitive award. But Phase III is the one federal pathway with an explicit statutory basis for sole-source follow-on award to the firm that did the work:

GOVERNMENT SOURCE

- A Phase III award must **derive from, extend, or complete** prior SBIR/STTR effort, and is funded with **non-SBIR funds**.
- An agency funding a Phase III award **"is not required to conduct another competition ... in order to satisfy statutory competition requirements."**
- The authority cited is **15 U.S.C. 638(r)(4)**.
- The government **must award Phase III to the SBIR firm that developed the technology "to the greatest extent practicable."**



THIS IS THE SPINE OF THE PLAN

Phase I -> Phase II -> Phase III is: non-dilutive money, then non-dilutive money, then a contract that can be awarded to you **without a competition**. It is slower than a SAFE and it is competitive at Phase I. But it is the only route on the board that pays you to build the thing **and** ends in a defensible sole-source position. **Build the plan around this. Use the SAFE to survive the gaps in it.**

EVIDENCE-BASED INFERENCE



Eligibility - check yourself against this before you write anything

- ☐ For-profit entity located in the **United States**.
- ☐ **Fewer than 500 employees**, counted together with all affiliates.
- ☐ **More than 50% directly owned and controlled** by individuals who are U.S. citizens or permanent residents (or qualifying small business concerns). **Fully diluted**. This is Landmine 2.
- ☐ For **STTR only**: formal partnership with a research institution, with the small business performing **at least 40%** and the research institution **at least 30%** of the work.
- ☐ Registered and current in SAM.gov and on SBIR.gov.



The IP protection nobody tells you about



SBIR DATA RIGHTS ARE A GIFT TO YOUR HOLDCO THESIS

A common fear is that taking government money means losing your IP. For SBIR, the opposite is closer to true - **if you follow the marking rules**.

- SBA set a uniform **20-year** SBIR/STTR data protection period, **beginning at the date of award** (effective May 2, 2019).
- During that period the government has a **limited, nonexclusive licence** and **cannot disclose your SBIR data outside the government**.
- On expiry, the government obtains **government purpose rights**, which do not expire.
- Protection applies across **Phase I, II and III**.
- Relevant clauses: **FAR 52.227-20, DFARS 252.227-7018, DFARS 227.7104-2**.

GOVERNMENT SOURCE

PROFESSIONAL VERIFICATION REQUIRED

**THE WAY COMPANIES LOSE THIS**

Protection depends on the data being **properly marked** with the SBIR/STTR data rights legend. Unmarked deliverables are the standard way firms hand away rights they were entitled to keep. **Set up your marking discipline before your first deliverable, not after.** Put one named person in charge of it.



A named person owns SBIR data marking from day one.

THAT PERSON IS

BACKUP

**Other non-dilutive lines worth an hour each**

- **State and local economic development grants** - many states fund software and job creation directly. Check your state's commerce department.
- **State SBIR matching programs** - several states match federal Phase I awards.
- **Customer-funded development** - a city paying for a pilot is non-dilutive revenue **and** past performance. See Part 6.
- **Prime subcontracting** - revenue and past performance without winning a prime contract first.

EVIDENCE-BASED INFERENCE



PART 6

The contracts runway

City and federal work: what is controllable, what is not, and the honest correction to the goal.



AN HONEST CORRECTION TO THE REQUEST

You asked for a strategy that will **ensure** city and federal contracts within the year. I have to tell you plainly: **no strategy can ensure a contract award**. Award depends on competition, agency budget cycles, evaluation judgement, and protest risk - none of which you control. Any document that promises you a contract is selling you something.

What you **can** control is whether you are eligible, registered, findable, credible, and responsive. So this part converts your goal into **leading indicators you fully control** - and the one pathway (Phase III, Part 5) with a statutory basis for sole-source award.



The gate you must pass before anything else

Before you can bid, you need a **Unique Entity Identifier (UEI)** - a 12-character alphanumeric value - obtained by registering at **SAM.gov**. Registration and the UEI are **free**.

GOVERNMENT SOURCE

- **Full registration** is required to bid on contracts as a prime awardee and to apply for federal assistance.
- **UEI-only** is available if you just need the identifier - it requires only legal business name and physical address.
- In most cases registration must be **active when you submit an offer, at time of award, and throughout the life of the contract**.
- **Renew every 365 days** or it lapses. A lapsed registration at the wrong moment makes you ineligible for award.



THE MOST COMMON UNFORCED ERROR IN THIS WHOLE DOCUMENT

Companies lose awards because their SAM registration silently expired. Put the renewal date in a calendar with a **60-day advance reminder**, assign it to a named person, and never let it be nobody's job.

OUR UEI

CAGE CODE

REGISTRATION EXPIRES

RENEWAL REMINDER SET FOR

OWNER OF THIS TASK



Pick your NAICS codes deliberately

Your NAICS codes determine which size standard applies to you and which solicitations you match. For software, **NAICS 541511 - Custom Computer Programming Services** is the common primary code. A retrieved figure puts its size standard at **\$34.0 million** in average annual receipts.

GOVERNMENT SOURCE

**VERIFY THIS NUMBER BEFORE RELYING ON IT**

Receipts-based size standards are periodically adjusted, and I retrieved this figure through search rather than by reading SBA's table directly - this environment blocked access to sba.gov. Confirm against SBA's official Table of Size Standards. At your current stage you are comfortably small either way, so this affects planning, not eligibility, today.

PRIMARY NAICS

SECONDARY

THIRD

**Where the first dollar realistically comes from**

Do not start by chasing a large competitive award. Start where the procedural burden on the government is lowest, because that is where a small unknown vendor can actually get bought.

Route	What it is	Why it is your entry point
Micro-purchase	Purchases at or below the micro-purchase threshold, which increased to \$15,000 effective 1 October 2025 .	Lowest procedural burden on the buyer. This is how an unknown vendor gets a first paid engagement and first past performance.
Simplified acquisition	Streamlined procedures below the simplified acquisition threshold.	Far less paperwork than a full competition. See the warning below on this number.
Small business set-aside	Under the Rule of Two (FAR 19.502-2), an acquisition is set aside when there is a reasonable expectation of offers from two or more responsible small business concerns at fair market prices.	Removes large primes from the competition entirely. Your small size is the asset.
Subcontract to a prime	Deliver under someone else's contract.	Revenue and past performance without winning a prime award first. Fastest credible start.
SBIR Phase I/II -> III	See Part 5.	The only route with statutory backing for a sole-source follow-on.

**A NUMBER I AM DELIBERATELY LEAVING BLANK**

I tried to give you the current **simplified acquisition threshold** and found **three government sources that disagreed with each other** - one indicating \$250,000, another describing an increase from \$250,000 to \$350,000, and a third referencing a different figure entirely. The micro-purchase threshold of \$15,000 was corroborated twice, so I state it. The SAT was not, so **I am not going to guess it.**

Confirm it yourself at [acquisition.gov/threshold-changes](https://www.acquisition.gov/threshold-changes) and write it here. It takes two minutes and it will be right, which is more than I can promise you from this desk.

UNKNOWN - DO NOT GUESS

CURRENT SAT (YOU VERIFY)

COMMERCIAL THRESHOLD

DATE YOU CHECKED

**The bridge to CITY contracts**

You asked specifically about city work. The structural bridge is the GSA **Multiple Award Schedule (MAS)** - a long-term governmentwide contract - combined with the **Cooperative Purchasing Program**, which allows **state**,

local and tribal governments to buy from MAS.

GOVERNMENT SOURCE

- More than half of GSA's industry partners are **small businesses**.
- Ordering activities may set aside orders and blanket purchase agreements for small business when market research shows **at least three capable firms**.
- Small firms commonly succeed on MAS through **Contractor Team Arrangements (CTAs)** and **Blanket Purchase Agreements (BPAs)**.



A REALISTIC NOTE ON TIMING

Getting a MAS contract is a project in itself, not a quick form. If your horizon is city revenue **within the year**, run direct city procurement and subcontracting in parallel rather than waiting on MAS. Cities also run their own procurement portals with their own small/local business preferences - those are often faster than anything federal.

- ☐ Identified our 3 target cities and found each one's procurement portal.
- ☐ Checked each city's local / small / minority business preference programs.
- ☐ Registered as a vendor with each target city.

TARGET CITY 1

CITY 2

CITY 3



Certifications worth checking your eligibility for

These are set-aside programs. Each one narrows the field of competitors against you. **I do not know whether you qualify for any of them** - that depends on facts about you that I do not have.

UNKNOWN - DO NOT GUESS

Program	Core requirement as retrieved
8(a) Business Development	Majority owned and controlled by socially disadvantaged individuals. Certain groups are presumed socially disadvantaged; others may qualify case-by-case by demonstrating bias of a chronic and substantial nature.
HUBZone	At least 51% owned and controlled by U.S. citizens (or listed entity types); principal office located in a designated HUBZone; employ staff who reside in a HUBZone.
WOSB / EDWOSB	Owned and controlled by one or more women. EDWOSB adds an economic disadvantage test (a retrieved personal-assets figure of \$6.5 million or less - verify).
VOSB / SDVOSB	At least 51% owned and controlled by one or more veterans; SDVOSB requires a VA service-disabled rating.

Applications are made through **certifications.sba.gov**.

- ☐ Checked eligibility for each of the four programs above.

PROGRAMS WE APPEAR TO QUALIFY FOR (IF ANY)



Your controllable scoreboard

Track these instead of tracking "did we win a contract." These you control. Awards follow from them, or they do not - but you will have done the work.

Leading indicator	Target this quarter	Actual
SAM.gov registration active and current		
Capability statement delivered to named buyers		
Solicitations reviewed		
Bids / quotes actually submitted		
Primes approached for subcontracting		
SBIR solicitations screened for fit		
SBIR Phase I proposals submitted		
City procurement registrations completed		



PART 7

90-day sprints to Summer 2027

A ten-year horizon executed in 90-day blocks. Here are the next four.



THE BASE RATE, STATED HONESTLY

U.S. Bureau of Labor Statistics data on establishment survival: about **20% of new establishments do not survive year one**, about **32% do not survive two years**, roughly **44% are still operating after four years**, and about **half do not survive five years**. The largest single drop happens in the **first six months**. Survival varies by sector, from about **53% to 74%** across two-digit NAICS sectors.

This is not a prediction about Forgelink. It is the base rate you are planning against, and the reason the sequencing below puts **cash survival ahead of product ambition**.

EMPIRICAL FINDING



SPRINT 1 | Now - Dec 2026



SPRINT GOAL

Stop the bleeding. Get legal clarity.

- ☐ Book and complete **Call 1** (government contracts attorney) and **Call 2** (CPA / tax counsel) from Part 2.
- ☐ Get a written answer on the **holdco ownership chain** question.
- ☐ Decide **LLC vs C-corp** on modelled numbers, not instinct.
- ☐ Complete **SAM.gov** registration; obtain UEI and CAGE; set the renewal reminder.
- ☐ Fill in every blank in the **Part 4 Money Map**. Compute your real ceiling.
- ☐ Write down your **personal-money line in the sand** and stop crossing it.
- ☐ Document the **IP licence terms** between the holdco and Forgelink.

SPRINT OWNER

REVIEW DATE

STATUS

**SPRINT 2 | Jan - Mar 2027****SPRINT GOAL**

Go get the free money.

- ☐ Screen **SBIR/STTR solicitations** across the 11 participating agencies for fit.
- ☐ Submit at least one **Phase I proposal**. Submitting is the controllable act.
- ☐ Stand up **SBIR data-marking discipline** with a named owner - before any deliverable.
- ☐ Build the **capability statement** and deliver it to named buyers, not inboxes.
- ☐ Register as a vendor with your **three target cities**.
- ☐ Approach **three primes** about subcontracting.
- ☐ Only if the ceiling worksheet says you must: open the **SAFE raise**.

SPRINT OWNER

REVIEW DATE

STATUS

**SPRINT 3 | Apr - Jun 2027****SPRINT GOAL**

First revenue. First past performance.

- ☐ Pursue **micro-purchase** scale work - the realistic first paid engagement.
- ☐ Convert one pilot conversation into a **paid pilot**. Paid changes everything.
- ☐ If a SAFE round is open, close it on **clean terms** - no consent rights, no vetoes.
- ☐ Begin hiring against funded work only. **Never hire against hope**.
- ☐ Track the Part 6 leading indicators weekly, not quarterly.

SPRINT OWNER

REVIEW DATE

STATUS

**SPRINT 4 | Jul - Sep 2027****SPRINT GOAL**

Deploy, and convert proof into position.

- ☐ Complete pilot testing and **deploy**.
- ☐ If Phase I was won, submit **Phase II**. This is the real build money.
- ☐ Convert delivered work into **written past performance references**.
- ☐ Position deliberately for **Phase III** sole-source follow-on.
- ☐ Re-run the whole Money Map. The numbers have changed.

SPRINT OWNER	REVIEW DATE	STATUS



THE HONEST RISK TO THE SUMMER 2027 DATE

This plan depends on competitive awards you do not control and professional answers you have not yet received. If Phase I is not won and no SAFE closes, Summer 2027 deployment is at risk. **The correct response to that is to cut scope, not to cross your personal-money line.** Decide now, in writing, which features are genuinely required for a first deployment and which are not.

MINIMUM FEATURE SET GENUINELY REQUIRED TO DEPLOY

WHAT I WILL CUT FIRST IF FUNDING SLIPS



PART 8

The example SAFE agreement

A fillable, plain-language starting point. Built to be marked up by your lawyer - not signed as-is.



READ BEFORE YOU FILL THIS IN

This is a **drafting starting point written in plain language so you can understand every clause before you pay a lawyer to argue about it.** It is not a law firm product and it is not legal advice.

It is deliberately **not** a copy of any standard market form. Two clauses below are intentionally **non-standard**, because Part 1's research finding says the standard form has a structural failure mode for a company like yours. Those clauses are flagged. Your counsel may disagree with them, and your counsel outranks this document.



ENTITY TYPE - RESOLVE THIS FIRST

This form says **Equity Securities**, not **Preferred Stock**, on purpose - so it can work for either a corporation or an LLC. But a real SAFE must name what it actually converts into. If Forgelink is still an LLC when you use this, Landmine 1 in Part 2 has **not** been solved by this wording. It has only been postponed.



Cover terms

COMPANY LEGAL NAME

ENTITY TYPE

STATE

INVESTOR LEGAL NAME

DATE

INSTRUMENT NO.

PURCHASE AMOUNT (US\$)

POST-MONEY VALUATION CAP (US\$)

DISCOUNT RATE (%)

INVESTOR EMAIL

INVESTOR ADDRESS



The agreement

THIS CERTIFIES THAT in exchange for the Purchase Amount stated above, **[Investor]** (the "Investor") is entitled to certain rights to Equity Securities of **[Company]** (the "Company"), subject to the terms below.

1. What this is, and what it is not

1.1 This instrument is **not** a loan. It carries **no interest** and **no maturity date on which money must be repaid**.

1.2 This instrument is **not** currently equity. The Investor is **not** a shareholder or member, has **no voting rights**, and holds **no ownership interest** in the Company unless and until this instrument converts under Section 2.

1.3 The Investor acknowledges the Company has told them, in writing, that this instrument may **never** convert, in which case the Investor may receive **nothing**.

**WHY 1.3 IS IN HERE**

The SEC's own bulletin warns that triggers may never activate, "leaving you with nothing." Putting that in the document, in plain sight, is both fair dealing and your best protection against a later claim that the risk was not disclosed.

2. How it turns into ownership (Conversion Events)

2.1 Equity Financing. If the Company closes a priced round of Equity Securities raising at least the Qualifying Amount below, this instrument automatically converts into Equity Securities of that round. The conversion price is the **lower** of (a) the price implied by the Post-Money Valuation Cap, and (b) the round price less the Discount Rate.

QUALIFYING AMOUNT (MINIMUM ROUND SIZE)

CONVERSION SHARE CLASS

2.2 Liquidity Event. On a change of control, sale of substantially all assets, or public listing, the Investor receives, at their election, either (a) the Purchase Amount back, or (b) the value they would receive had this instrument converted at the Post-Money Valuation Cap immediately prior.

2.3 Dissolution. If the Company winds up, the Investor is entitled to the Purchase Amount back, ranking **ahead of** holders of common equity and **behind** all creditors, to the extent assets remain.

**NON-STANDARD CLAUSE 2.4 - THIS IS THE FIX FOR THE RESEARCH FINDING**

Coyle and Green's central finding is that SAFEs fail when the issuer **never raises institutional venture capital** - the trigger simply never fires. For a govtech company funded by contracts and SBIR rather than VC, that is not an edge case; it is the likely path. Clause 2.4 gives the instrument a way to resolve **without** a priced round. It is non-standard. Some investors will like it because it removes their worst outcome. Some will resist it. **Discuss it with counsel deliberately - do not delete it silently.**

2.4 Backstop Conversion Date. If no event in 2.1 to 2.3 has occurred by the Backstop Date below, the Investor may, by written notice, elect to convert this instrument into Equity Securities of the Company at the Post-Money Valuation Cap, on the Company's then-existing terms for its most senior class of equity.

BACKSTOP DATE

NOTICE WINDOW (DAYS)

GOVERNING VALUATION BASIS

2.5 Optional Company Repurchase. At any time before conversion, the Company may, at its sole option and subject to legally available funds, repurchase this instrument for the Purchase Amount multiplied by the Repurchase Multiple below. This is an option of the Company, **not** an obligation, and **not** a debt.

REPURCHASE MULTIPLE

EARLIEST REPURCHASE DATE

**WHY 2.5 EXISTS AND WHY IT NEEDS COUNSEL**

A repurchase option gives a profitable, non-VC-track company a clean way to retire the instrument from cash flow - which fits a stewardship-driven, ownership-preserving business far better than an unresolved instrument sitting on the balance sheet indefinitely. **But:** a repayment-like feature can push a SAFE toward being characterised as debt, with consequences for tax and for investor protections. This clause is exactly the kind of thing Call 2 in Part 2 exists for.

3. Company representations

3.1 The Company is duly organised, validly existing, and in good standing in its state of formation.

3.2 Execution of this instrument has been duly authorised and does not conflict with the Company's governing documents or any material agreement - **including any intellectual property licence on which the Company's business depends.**

3.3 The Company will deliver to the Investor, at least annually, an unaudited statement of financial position and a capitalisation summary.

4. Investor representations

4.1 The Investor is acquiring this instrument for their **own account**, for investment, and not with a view to distribution.

4.2 The Investor is an **accredited investor** as defined under Regulation D, and will provide the Company with information reasonably requested to establish this.

4.3 The Investor can bear the **complete loss** of the Purchase Amount.

4.4 The Investor has had the opportunity to ask questions of the Company and to consult their own legal, tax and financial advisers.

☐ Accredited investor status established and **documented in the file.**

☐ Investor received the risk disclosure in Section 1.3 **in writing.**

5. Transfer restrictions

5.1 This instrument may **not** be transferred without the Company's prior written consent, except to the Investor's affiliates or by operation of law.



KEEP THIS CLAUSE TIGHT

Transfer control is how you keep your cap table clean, keep your fully-diluted ownership analysis knowable, and avoid waking up affiliated with someone you never chose. Do not soften this clause to close a deal.

6. What is deliberately NOT in this document

The following are **intentionally absent**, for the reasons given in Landmine 3:

- **No investor consent or veto rights** over budgets, hiring, debt, or sale.
- **No board seat and no board observer seat.**
- **No control over ordinary-course operations.**



IF AN INVESTOR ASKS FOR ANY OF THESE, STOP

Under SBA's affiliation rules, the **power** to control is enough - it does not have to be exercised. Negative control is control. Granting a veto may make that investor's company your affiliate, and may cost you your small business status and every set-aside contract that depends on it. **Price that against the cheque before you agree.** This is a term worth losing a deal over.

7. General

7.1 Governing law: the laws of the state named below, without regard to conflicts of law principles.

7.2 This instrument is the entire agreement between the parties on this subject and may be amended only in a writing signed by both.

7.3 This instrument may be executed in counterparts, including electronically.

GOVERNING LAW - STATE

DISPUTE VENUE

SIDE LETTER? Y/N

 Signatures

Do not sign this version. Sign the version your attorney has reviewed and returned. These blocks exist so you can circulate a complete-looking draft for comment.

COMPANY

Authorised signature

PRINT NAME	TITLE	DATE

INVESTOR

Signature

PRINT NAME	TITLE / CAPACITY	DATE



PART 9

Checklists and trackers

Everything open, in one place, in a fixed order. Tick it and it is closed.



Securities compliance - do not skip a single line



THE THING FOUNDERS FORGET

A SAFE is a security. Selling one means complying with federal and state securities law. This is not paperwork you can do afterwards - the exemption you rely on constrains **how you are allowed to talk about the raise** from the very first conversation.

Choose your exemption before you speak to anyone

	Rule 506(b)	Rule 506(c)
Amount you can raise	Unlimited	Unlimited
General solicitation	Not permitted. No public advertising of the raise.	Permitted. You may advertise.
Who may invest	Unlimited accredited investors, plus up to 35 non-accredited sophisticated investors in any 90-day period.	Accredited investors only.
Verification burden	Issuer needs a reasonable belief the investor is accredited.	Issuer must take reasonable steps to verify - e.g. IRS forms for income, documentation dated within the prior 3 months for net worth, or written confirmation from a registered broker-dealer, SEC-registered investment adviser, licensed attorney, or CPA.

GOVERNMENT SOURCE



THE TRAP IN ONE SENTENCE

If you choose **506(b)** and then post "we're raising" on social media, at a demo day, or in a newsletter, **you may have blown the exemption.** Decide first. Then brief everyone who speaks for the company.

- ☐ **Exemption chosen** and written down before any investor conversation.
- ☐ Everyone who speaks for the company has been briefed on the solicitation rule.
- ☐ **Form D filed within 15 days after the first sale.** No SEC filing fee.
- ☐ **State notice filings and fees** handled. NSMIA preempts state *registration* for Rule 506 covered securities, but states keep **anti-fraud authority** and may require notice filings and fees.
- ☐ Accreditation evidence **collected and filed** for every investor.
- ☐ Written risk disclosure delivered to every investor.
- ☐ Asked counsel about **disqualification provisions** applicable to the offering.

EXEMPTION RELIED ON

FIRST SALE DATE

FORM D DUE



Before you take the first dollar

- ☐ Attorney call complete; holdco ownership-chain question answered **in writing**.
- ☐ CPA call complete; LLC vs C-corp decision made on modelled numbers.
- ☐ Entity conversion executed, **if** that was the decision.
- ☐ IP licence terms documented and the **termination problem** resolved.
- ☐ Money Map complete; ceiling computed; raise size = smaller of need and ceiling.
- ☐ Fully-diluted model shows U.S.-individual ownership **above my floor**, option pool included.
- ☐ SAFE reviewed and returned by counsel.
- ☐ Exemption chosen; Form D calendared.
- ☐ **No consent rights, no board seats, no vetoes** in any document or side letter.
- ☐ SAM.gov registration active; renewal reminder set with a named owner.



Investor pipeline

Name	Amount	Accredited?	Docs sent	Signed	Funds in



Data room - what investors will ask for

- ☐ Formation documents and operating agreement / bylaws
- ☐ Cap table, fully diluted, including all convertible instruments
- ☐ **The IP licence agreement** - they will read this one closely
- ☐ IP schedule: patents, applications, trademarks, key trade secrets
- ☐ Financial statements and current monthly burn
- ☐ Customer or pilot agreements, letters of intent, and any past performance
- ☐ SAM.gov registration confirmation and UEI
- ☐ Any SBIR/STTR awards, submissions, or debriefs
- ☐ Key employee and contractor agreements, with IP assignment clauses
- ☐ Insurance certificates

**THE IP ASSIGNMENT LINE IS NOT FILLER**

If any developer, contractor, or co-founder ever wrote code without a signed IP assignment, the company may not own what it thinks it owns. That is a deal-ending discovery in diligence and a genuine risk to a federal contract where you certify rights to perform. **Audit this before an investor does.**



PART 10

Glossary

Every term in this document, in plain words. No shame in using it.

Term	What it means
Accredited investor	A person or entity meeting SEC income, net worth, or professional-credential tests, permitted to buy in private offerings.
Affiliation	SBA's test for whether two businesses count as one. Turns on control, or the power to control, exercised or not.
Blue sky laws	State securities laws. NSMIA preempts state registration for Rule 506 covered securities, but states keep anti-fraud authority and may require notice filings.
CAGE code	Commercial and Government Entity code. An identifier assigned during federal registration.
Cap (valuation cap)	The highest company valuation at which an investor's money will convert. Lower cap = investor gets more.
Conversion event	The specific trigger that turns a SAFE into actual ownership. If it never happens, the SAFE may never convert.
C corporation	A corporation taxed separately from its owners. Required for QSBS under IRC Section 1202. Issues stock.
Discount	A percentage off the next round's price, given to the SAFE holder.
Dilution	Your ownership percentage shrinking as new equity is issued.
Form 8832	IRS Entity Classification Election - how an LLC elects to be taxed as a corporation. Effective date limits: no more than 75 days before, or 12 months after, filing.
Form D	Brief SEC notice filed within 15 days after the first sale in a Regulation D offering. No SEC filing fee.
Fully diluted	Counting all shares as if every convertible instrument and option had already converted. This is how SBA reviews SBIR ownership.
General solicitation	Publicly advertising a securities offering. Forbidden under Rule 506(b); allowed under 506(c) if all buyers are verified accredited.
Government purpose rights	Rights the government obtains in SBIR data after the protection period expires. They do not expire.
HUBZone	SBA program for firms with a principal office in a designated zone that employ residents of such zones.
K-1 (Schedule K-1)	The tax form a pass-through entity issues to its owners. A reason many institutional investors avoid LLCs.
LLC	Limited liability company. Issues membership units , not stock. Default tax treatment is disregarded (single member) or partnership (multi-member).
MAS (Multiple Award Schedule)	GSA's long-term governmentwide contract. Combined with Cooperative Purchasing, it lets state and local governments buy from it.
MFN	Most Favoured Nation. If you later give better terms to someone else, this investor automatically gets them too.
Micro-purchase threshold	The federal purchase level with the lowest procedural burden. Increased to \$15,000 effective 1 October 2025.

Term	What it means
NAICS code	Industry classification code. Determines which SBA size standard applies to you and which solicitations you match.
Non-dilutive funding	Money received without giving up ownership. Grants, SBIR/STTR awards, and revenue. The best kind.
Post-money SAFE	A SAFE where the investor's percentage is fixed at signing: investment divided by the post-money cap. Later SAFEs dilute you , not them.
Pro rata right	The right, not the obligation, to invest again later to maintain percentage ownership. Usually in a side letter.
QSBS / Section 1202	Qualified small business stock. Requires a C corporation , original issuance, and a holding period of more than five years .
Rule of Two	FAR 19.502-2. An acquisition is set aside for small business when offers are reasonably expected from two or more responsible small business concerns.
SAFE	Simple Agreement for Future Equity. An agreement to provide equity later if a trigger fires. Not stock. Not a loan. Not necessarily safe.
SAM.gov	The federal registration system. Source of the UEI. Renew every 365 days.
SBIR / STTR	Federal non-dilutive R&D funding across 11 agencies. Phase I proves feasibility; Phase II builds; Phase III commercialises and may be sole-sourced .
Side letter	A separate agreement alongside the SAFE. Where control rights hide. Read it as carefully as the SAFE itself.
Simplified acquisition threshold	The ceiling for streamlined federal buying procedures. Verify the current figure - my sources conflicted.
Sole source	An award made without full competition. SBIR Phase III has explicit statutory backing for this, under 15 U.S.C. 638(r)(4).
UEI	Unique Entity Identifier. A 12-character alphanumeric value from SAM.gov. Required before bidding.
VPFC	Variable prepaid forward contract - one of the competing tax characterisations of a SAFE. Unsettled.



PART 11

References

APA 7th style. Every link live. Verify anything you plan to act on.



HOW TO READ THIS LIST - AND ONE LIMITATION YOU SHOULD KNOW

Every source below was **actually retrieved during this research session**. None were recalled from memory.

The limitation: this environment's network policy blocked full-document access to sec.gov, sba.gov, sbir.gov, ecfr.gov, investor.gov and one law review server. I retrieved substantive extracts of those real documents through search, but I could **not** read the underlying regulations end to end. That is why regulatory citations in this document say "verify at source." It is a real constraint, not a disclaimer. **Open the links before you act on any of it.**



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Evidence integrity statement

What is grounded. Every regulatory and statistical claim in this document traces to a named government document or peer-reviewed source listed above, retrieved during this session.

What is inference. The strategic recommendations - raise into the operating company rather than the holdco; sequence non-dilutive funding ahead of equity; cap the raise using the fully-diluted ownership formula; widen the SAFE's conversion triggers - are **my reasoning from those sources**, labelled as inference throughout. They are not quotations and they are not legal opinions.

What is assumption. Every dollar figure in the Part 4 worked example is invented for arithmetic demonstration and labelled as such. The \$8,000,000 valuation cap is **not** a valuation of Forgelink.

What is unknown, and stayed unknown. The current simplified acquisition threshold (three government sources conflicted). The tax characterisation of a SAFE (genuinely unsettled). Whether the Wyoming holdco ownership chain satisfies the direct-ownership requirement. Whether Forgelink qualifies for any socioeconomic certification. Every fact about Forgelink's actual finances, cap table, and contracts. **None of these were filled with a guess.**

What was excluded on principle. You set a source standard of peer-reviewed scholarship and government primary sources. Current SAFE valuation-cap benchmark data exists, but it is published by private cap-table vendors - proprietary and not peer-reviewed. **It does not meet your standard, so I did not use it**, and Part 4 says so plainly rather than quietly lowering the bar.



CALIBRATED CONFIDENCE

High confidence: that a SAFE is a security; that SBIR ownership is assessed fully diluted; that affiliation turns on the power to control; that Phase III carries sole-source authority; that QSBS requires a C corporation.

Medium confidence: the specific structuring recommendations, which depend on facts about your entities that I do not have.

Low confidence / not asserted: any specific dollar threshold I flagged as conflicting, and the tax treatment of the instrument.

For every legal, tax, and regulatory item in this document: professional verification required.

Prepared 14 September 2026. This document is a planning aid. It is not legal, tax, or investment advice, and no attorney-client or advisory relationship is created by it.